

[Applicability](#)

[Exclusions/Exceptions](#)

[A. Summary](#)

[B. Food Statistic Definitions](#)

[C. Beverage Statistic Definitions](#)

[D. Banquet and Conference Center Definitions](#)

[E. Complimentary Customer Tracking](#)

[Definitions](#)

SOP NUMBER: SOP-OPSFIN-233

Food & Beverage Statistics

This SOP standardizes the reporting and computation of Food & Beverage statistics

APPLICABILITY

All Owned & Operated Hotels (including Shared Service Centers supporting these hotels).

EXCLUSIONS/EXCEPTIONS

No exclusions.

A. SUMMARY

The statistical information pertaining to customers in the food & beverage operations will be obtained through the input of customer information into the Point of Sales System. The daily customer counts and revenues are then uploaded or interfaced with Operations Audit. The Food and Beverage Leader, Finance Leader and Operations Leader are responsible for the accuracy of the reporting statistics.

For the accounting treatment of promotional and duty meals, refer to the Operations Finance policy FP-OPSFIN-132, which should be read in conjunction with this SOP.

B. FOOD STATISTIC DEFINITIONS

- 1) **Customer** – One person served in a food and beverage venue or function space (USALI 11th revised edition)
- 2) **Food** – Includes sales of food and non-alcoholic beverages in and from specific dining areas in the property
- 3) **Venue** – An individual food and beverage facility in a hotel, usually a restaurant, lounge or bar. Banquet rooms, guestrooms, group functions outside the property, and the front desk are not considered food and beverage venues.
- 4) **Number of Customers Served** - This is the accumulated number of customers served during the reporting period and they are reported by meal period.
- 5) **Average Check excluding Complimentary (Primary measure)** - Divide net revenue by the number of customers served. Complimentary customers as tracked in section E of this policy shall be excluded in the calculation of Average Check. This measure is to be used for all external benchmarking (eg Hotstats, STR)
- 6) **Average Check including Complimentary (Secondary measure [optional])**- Divide net revenue by the number of customers served. Complimentary customers as tracked in section E of this policy shall be included in the calculation of Average Check. This measure can only be used internally within Hilton
- Average Number of Customers Per Day** - For individual restaurant outlets, this is obtained by dividing the number of customers served by number of operating days.
- 7) **Number of Seats** - Relates only to restaurants, this is the number of sellable seats in the restaurant. To calculate this figure for the month, the daily number of seats is multiplied by the number of operating days in the month. If the outlet or meal period is closed, the seats should be omitted from the calculation.
- 8) **Turns/Day** - For individual restaurant outlets, this is obtained by dividing the number of customers served by the number of seats available for sale.
- 9) **Revenue/Seat** - For individual restaurant outlets, this is obtained by dividing the net revenue by the number of seats in the outlet

C. BEVERAGE STATISTIC DEFINITIONS

- 1) **Customer** – one person served in a food and beverage venue or function space (USALI 11th revised edition)
- 2) **Beverage** – any alcoholic beverage. Cocktails and alcoholic drinks with a mixer (for example a Gin and Tonic) are to be treated as one alcoholic drink, do not treat each element separately
- 3) **Venue** – An individual food and beverage facility in a hotel, usually a restaurant or lounge. Banquet rooms, guestrooms, group functions outside the property, and the front desk are not considered food and beverage venues
- 4) **Customer numbers** – These are to be recorded for beverage revenue, as the number of checks issued. For clarification, if one customer orders ten alcoholic drinks on one check, that will be recorded as one customer

- 5) **Average Check excluding Complimentary (Primary measure)** - Divide net revenue by the number of customers served. Complimentary customers as tracked in section E of this policy shall be excluded in the calculation of Average Check. This measure is to be used for all external benchmarking (eg Hotstats, STR)
- 6) **Average Check including Complimentary (Secondary measure [optional])**- Divide net revenue by the number of customers served. Complimentary customers as tracked in section E of this policy shall be included in the calculation of Average Check. This measure can only be used internally within Hilton
- 7) **Average Number of Customers Per Day** - For individual venues, this is measured by the number of checks issued each day
- 8) **Beverage Categories** - Revenue and cost of goods sold will be segregated by Beer, Wine, Liquor and Other Beverage

D. BANQUET & CONFERENCE CENTER DEFINITIONS

- 1) Banquet and Conference Center functions must be assigned to a meal period which will determine the methodology for the recording of the customer. The time the meal is served will determine the meal period classification and it may also depend on the type of food items served at the function. The following are the definitions for the meal periods for banquet and conference centers:
 - a. Breakfast – Includes plated and buffet breakfast meals/events. Customers should be recorded for each meal served or based on the contracted guarantee. Coffee only with other assorted beverages should be classified as a Coffee Break
 - b. Lunch – Includes plated and buffet style meals/events. Customers should be recorded for each meal served or based on the contracted guarantee. Afternoon tea and brunch revenues and customers should be recorded in this meal period.
 - c. Breaks eg coffee breaks – This event could occur during the morning and/or afternoon and normally pertains to meeting breakout sessions. Mainly consists of coffee, juices, sodas and other assorted beverages with minimal food and snack type of items available for consumption. Customers should still be recorded for this revenue type.
 - d. Dinner - Includes evening plated or buffet style meals/events. Includes events where the meal is prepared and served by the hotel in accordance with established kosher, halal or other rules. Customers should be recorded for each meal served or based on the contracted guarantee.
 - e. Reception – Consists of pre-event receptions where hors d'oeuvres requiring production are served buffet style or at individual serving stations. Customers should be recorded for each meal served or based on the contracted guarantee.
- 2) Customers for Daily Delegate Rates (DDR)/Packages, such as Complete Meeting Packages, must be allocated to the correct outlet; i.e. if lunch is taken in the restaurant then the restaurant is allocated the customer

***The below section only applies to Owned and Operated Hotels in the Americas.**

- 3) The customers and revenues generated from the Banquets and Conference Center operations will be classified by market category and for each function. This information must be reported in this manner when it is recorded in our financial systems and when the budget and forecast are being prepared.
- 4) Each hotel should be guided by a Market category classification for Banquet and Conference Center revenues.
- 5) Each function should be classified as Group or Local based on the definitions listed below. When revenues, allowances and customers (if applicable) are recorded to the general ledger the appropriate PeopleSoft product code designation of GP (Group) or LOC (local) should be assigned to each transaction and recorded appropriately in the general ledger. Exhibit A below will have the Delphi Multiple Property Events (DMPE) type mapping to the PeopleSoft product code and should clearly define the Market Category.
 - a. Group - Defined as any customers / revenues derived from the Convention, Association, Company Meeting, SMERF and Group Tours markets.
 - b. Local (Catering) - A function or event that is generated from the local business or social market. These functions may have limited room blocks but the business derived from local attendees. Examples of local catering would be weddings, local religious organizations, kosher events, political, fundraisers and other social events. Local group events/meeting would be classified in the local category.
- 6) The group and local product code should be assigned to all revenues including Other Revenue that is recorded in the Banquets and Conference Center P&L. Examples of Other revenue would consist of Audiovisual, Public Room Revenue (Meeting Room), Service Charge Revenue, Labor and this type of revenue would be a non-covered event. All allowances must be designated with the appropriate market category and product code.

7) Food & Beverage Statistics - Exhibit A

* DMPE Booking Types to Group/ Catering Product Codes (with new Booking Types added)

DMPE Booking Type	Catering Global Indicator & Finance Product Code	OnQ FM Market category
Church Group	Group	SMERF
Company Mtng	Group	CMTG
Company Mtng/Incentive	Group	CMTG
Convention Loc/Reg/State	Group	CONV
Convention National	Group	CONV
Convention Tour	Group	CONV
Gov/Military	Group	SMERF
Group	Group	CMTG
Group Social (NEW)	Group	SMERF
Group Tour	Group	GT
School Group	Group	SMERF
Sports/Misc	Group	SMERF
Catering Association (NEW)	Local	CONV
Catering Fundraiser	Local	SMERF
Catering Kosher	Local	SMERF
Catering Political	Local	SMERF
Catering SMERF (NEW)	Local	SMERF
Catering Social	Local	SMERF
Catering Tour (NEW)	Local	GT
Catering Wedding	Local	SMERF
Company Meeting Catering	Local	CMTG
Airline Crew	N/A	PERM
Industry Wholesale	N/A	Not used by OnQ FM
In-House	N/A	GT
Transient	N/A	Not used by OnQ FM

The market category and meal period information that is recorded into the PeopleSoft general ledger will need to balance by day and for the month to the OnQ FM System. The proper classification of the market category product codes on all revenue and allowance transactions is imperative to ensure the integrity of both systems

E. COMPLIMENTARY CUSTOMER TRACKING

- 1) Proper tracking of Complimentary Customers is needed not only for Benchmarking and Key Performance Index (KPI) tracking but also for Payroll Productivity Reporting.
- 2) Complimentary Customers are not to be written off/adjusted.
- 3) Complimentary Customers served are to be tallied by meal period and recorded in the applicable outlet that serviced the customer.
- 4) Complimentary Customers must be recorded in the Back Office System. The following general ledger statistical codes must be used to record the statistic (9.2 code block), one for each primary meal period:
 - Breakfast 921015
 - Lunch (including Brunch and Afternoon Tea meal periods) 921060
 - Dinner (including Reception and Late Night meal periods) 921085

DEFINITIONS

TERM/ACRONYM	DEFINITION
Back Office System	Primary system (ie PeopleSoft, Sun, Navision etc) utilized for Accounting functions (ie Accounts Payable, Financial Preparation, etc)
Complete Meeting Package	Bundles/Packages many services provided to a group guest into one price. The package generally includes Room, Food, Meeting Room

	Rental, Business Service, Applicable Taxes & Gratuities
Complimentary customer	A customer that is not charged to the individual or group being served is considered a Complimentary Customer.
Finance Leader	Ranking Accounting / Finance representative for the property (i.e., DOF, Controller, or Finance Manager)
POS	Acronym for Point of Sale system (ie Micros, HIS, Spa soft etc)
PeopleSoft	Primary Back of House system utilized by Owned & Operated hotels
USALI	Uniform System of Accounts for the Lodging Industry version 11